TAX AUDIT UNDER SECTION 44AB

Section 145A and Form 3CD Clause 14

The clause that confuses every audit team — explained, worked out, and reduced to a repeatable procedure. With seven full industry illustrations and a companion software tool.

What this guide answers

Why the Clause 14(b) figure is almost always nil, and what it means when it is not · Whether a service company, a bank or an insurer has to report anything · Exactly what to ask the client for · How to write Clause 14(a) so it survives review · Whether a tool actually solves the problem

Prepared for Chartered Accountants and audit teams · Assessment Year 2026-27 (FY 2025-26)
Written to the ICAI Guidance Note on Tax Audit under Section 44AB (Revised 2026), paragraphs 26.1 to 26.16, and to ICDS-II, III, V and VIII notified under section 145(2).

Accompanied by: **Section-145A-Clause-14-Tax-Audit-Tool.html** — an offline, single-file audit assistant.
Opens in a six-question guided wizard; full detailed mode one click away.

Contents

How to use this guide with the tool. Read Part I once — it takes twenty minutes and removes the confusion permanently. Then open the companion HTML tool. It opens in **Simple guided mode**: one question per screen, six questions, eight figures, and a plain-language answer at the end. A **Detailed mode** link in the corner opens the full version — industry samples, fourteen client templates, the exception engine and the complete working paper. Both modes run the same rules engine, so they cannot disagree. Part II is the list you send the client. Part III is what a completed file looks like.

A word on authority. Every technical statement in this guide is traceable to the Income-tax Act, to ICDS notified under section 145(2), to the ICAI Guidance Note (Revised 2026) paragraphs 26.1 to 26.16, or to the CGST Act and Rules. Where the law is genuinely open, the guide says so and stops rather than inventing certainty. No case citation, circular number or paragraph reference appears here that is not drawn from those sources. Verify the position as applicable for the relevant previous year before relying on it.

Part I — The concept

1. Why this clause defeats good audit teams

Clause 14 is a small clause with a large failure rate. The Taxation Audits Quality Review Board has recorded three recurring deficiencies: the method of valuation is not reported for individual inventory categories; deviations from the method prescribed under section 145A are not disclosed; and the valuation method is reported incorrectly.

Behind those three findings sits one cause. Teams treat Clause 14 as a single question when it is two, and they approach the second question — the section 145A adjustment — without understanding what the adjustment is *for*. What follows is a mechanical exercise that produces either a frightening distorted number or a bare “Nil” with nothing behind it. Both are wrong.

The four things people believe that are not true

- “Section 145A means we have to change the client’s books to the inclusive method.” No. The books stay exclusive. AS-2 and Ind AS 2 do not permit the inclusive method. The adjustment is made in the computation of income.
- “A nil Clause 14(b) figure means the working was not needed.” No. Nil is the expected answer for a well-run assessee, and it has to be proved.
- “A service company has no inventory, so section 145A does not apply.” Wrong on the law — section 145A covers services. Right on the outcome — but for a different reason, and you have to be able to state it.
- “GST on purchases goes into Clause 14(b) as a decrease in profit.” Only if you also show the three offsetting rows. On its own it is a misstatement.

2. Two sub-clauses, two entirely different questions

	Clause 14(a)	Clause 14(b)
The question	What method did you use to value closing stock?	Your books value purchases, sales and inventory *excluding* GST. Section 145A says value them *including* tax. What is the difference and what does it do to profit?
Nature	A **disclosure**. Nothing to compute.	A **computation**. Nothing to disclose until it is done.
Does GST matter?	No.	It is the whole subject.
Triggered by	Existence of closing stock of any description.	Books being on the exclusive method while section 145A prescribes the inclusive basis.
Common failure	One generic line covering every category; “cost” never defined.	Either a distorted gross figure, or “Nil” with no working on file.
Typical answer	Four to eight sentences, category-wise.	A table whose columns are large and whose net is nil.

They are unrelated. A company can have a long, detailed 14(a) answer and a nil 14(b) answer. That combination is not a contradiction — it is the normal case.

3. Section 145A in three lines

> Value purchases, sales and inventory the way you always do — but add back the tax, duty, cess and fee **actually paid or incurred**.
> Do this in the **computation of income**, not in the books.
> The books stay on the exclusive method, because AS-2 and Ind AS 2 require it.
>
> *Guidance Note (Revised 2026), paras 26.8, 26.10 and 26.15. Section 145A covers not only goods but services and securities also (para 26.7).*

The Memorandum explaining the provision when it was introduced put the purpose plainly: to ensure that the value of **opening and closing stock** reflects the correct value, by including the amount of tax, duty, cess or fee paid or incurred. That is the whole intent. The section exists to stop the value of stock being understated by the amount of recoverable tax sitting inside it.

4. Exclusive versus inclusive — the ₹1,000 proof

One purchase, one sale, one fifth of the goods left in stock, GST at 18 per cent. Nothing else.

	Exclusive method (books)	Inclusive method (s.145A)
Debit side of the trading account		
Opening stock	Nil	Nil
Purchases	1,000	1,180
Less: ITC relating to the portion consumed (80%)	—	(144)
Credit side		
Sales	1,200	1,416
Less: output GST credited to GST Payable Account	—	(216)
Closing stock (one fifth of purchases)	200	236
Gross profit	**400**	**400**

> **Identical — and that is the point of paragraph 26.16.** The Guidance Note states expressly that the adjustments envisaged by section 145A will not have any impact on the trading account, and that gross profit is the same under both methods. The ₹36 of GST sitting inside the closing stock of ₹236 is exactly the input tax credit still unrecovered on the goods not yet sold. It is an asset either way — as part of stock under the inclusive method, as a credit receivable under the exclusive method.

5. Why the Clause 14(b) table nets to nil

Take the same ₹1,000 example and lay it out in the statutory format.

Sr.	Particulars	Increase in profit	Decrease in profit
1	GST attributable to opening inventory	—	Nil
2	GST on purchases of goods, not in purchase cost in the books	—	180
3	Eligible ITC attributable to goods consumed during the year	144	—
4	GST included in the value of outward supplies	216	—
5	Corresponding GST payable on those outward supplies	—	216
6	GST attributable to closing inventory	36	—
	Total	**396**	**396**
	Net effect on profit		**NIL**

THE ALGEBRA, IN ONE LINE

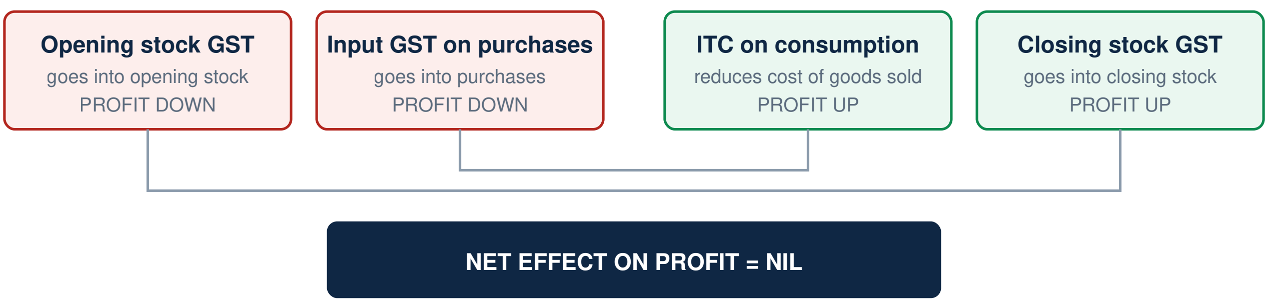
(GST in closing stock) − (GST in opening stock) − (input GST on purchases) + (ITC on consumption) = 0

because ITC on consumption is, by definition, opening GST + input GST − closing GST

The four legs cancel because they are describing the same rupees twice. That is not an accident of the numbers — it is structural. Which is why the tool that accompanies this guide displays the proof on every engagement, and why any non-zero result must have a named cause rather than being accepted as an output.

The two ways teams get this wrong
Error one — the half-table. Reporting only rows 2 and 6 (GST on purchases, GST on closing stock) and showing a large distorted decrease in profit. Rows 3, 4 and 5 are not optional; without them the table is not a section 145A computation at all.
Error two — the bare nil. Writing "Nil" with no working on file. TAQRB records failure to disclose deviations as a recurring deficiency. Show the gross increase and decrease columns and the nil net.

How the four legs cancel



Gross profit is the same under both methods — Guidance Note para 26.16

The only things that survive this cancellation:
1. Blocked ITC under s.17(5) that was charged to the P&L instead of being added to cost
2. Rule 42 / 43 reversals expensed instead of being added to cost
3. Non-refundable duties (basic customs duty) left out of inventory cost

6. The five things that make it *not* nil

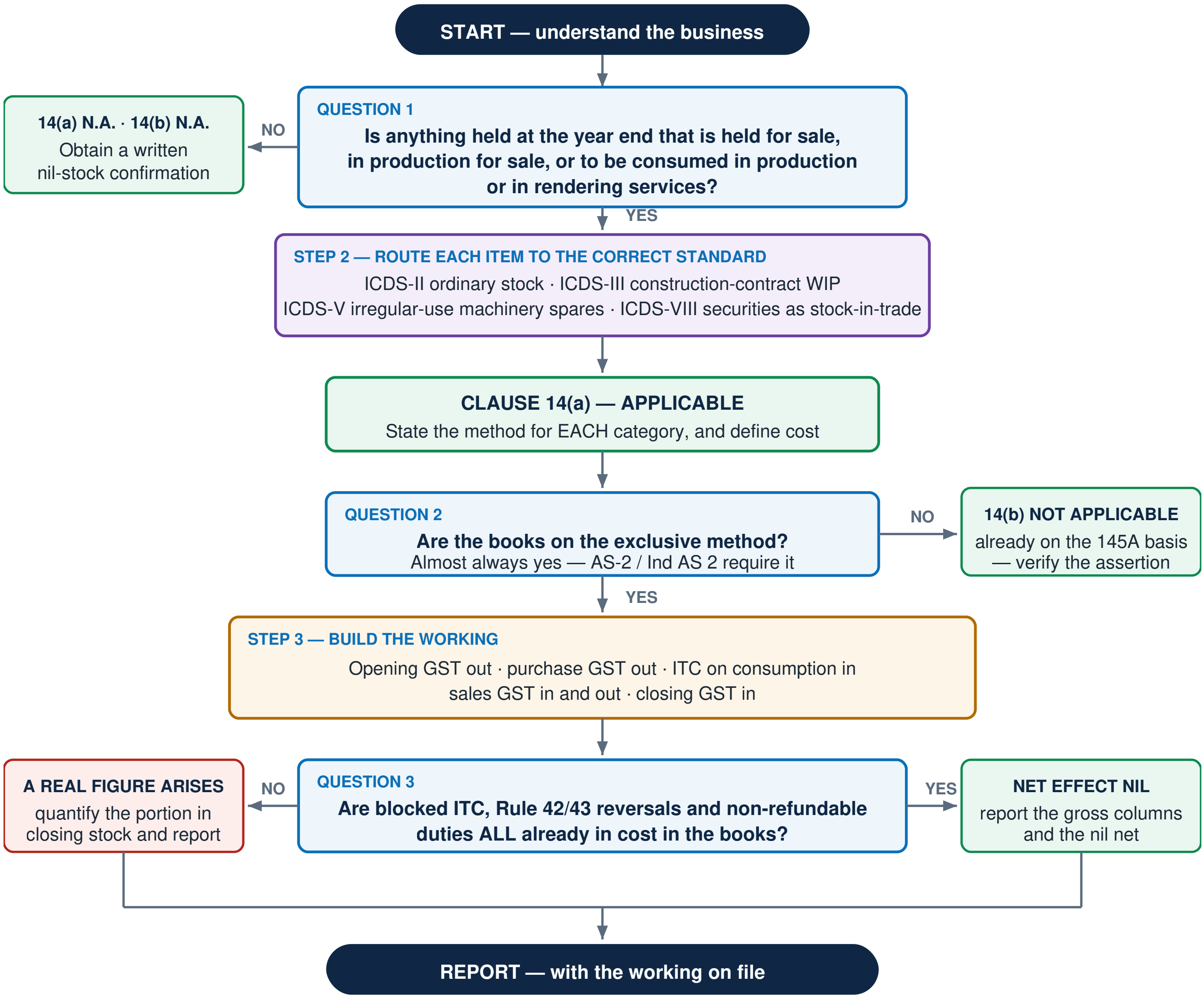
Cause	Why it breaks the symmetry	What to report
Blocked ITC under s.17(5) charged to the profit and loss account	The credit was never recoverable, so it is a cost of acquisition. The Guidance Note directs that it be added to the cost of the inputs, input services or capital goods. If the books expensed it, the portion sitting in closing stock has been left out of inventory.	**Increase in profit** equal to the blocked credit lying in closing inventory.
Rule 42 / Rule 43 reversals expensed	Identical logic. Common credit attributable to exempt supplies is reversed, becomes non-recoverable, and belongs in cost. Rule 43 relates to capital goods, so it affects the depreciable cost rather than inventory.	**Increase in profit** for the Rule 42 element in closing stock. Rule 43 goes to Clause 18, not Clause 14.
Non-refundable duties left out of cost	Basic customs duty is not creditable. ICDS-II puts non-refundable duties and taxes into the cost of purchase. If the books expensed it, inventory is understated.	**Increase in profit** for the duty element in closing stock.
Goods in transit or with job workers omitted from inventory	Inventory itself is understated in the books, so the GST attributed to closing inventory is understated too. This is a stock-take failure that surfaces as a section 145A difference.	Correct the inventory first; the Clause 14(b) consequence follows.
Opening and closing treated inconsistently	Usually a prior-year working that was never prepared, or a mid-year ERP migration. The symmetry that produces the nil result depends on continuity between years.	Resolve before reporting. An unexplained break means income has escaped in one of the two years.

> **Read this before you report a large number.** A big Clause 14(b) figure in a manufacturing or trading company is usually a symptom, not a finding. Nine times out of ten it means the GST component attributed to closing inventory was estimated at a blended rate rather than derived item-wise from the purchase register, or that one of the offsetting rows was omitted. Before reporting it, run the cross-check: divide the GST component of closing stock by the cost of closing stock and compare the result to the eligible input GST rate implied by the purchase register. If they are far apart, the number is wrong, not the client.

SECTORS WHERE A LARGE FIGURE IS NORMAL

Real estate development, where credit on construction inputs may be blocked and therefore genuinely sits inside the cost of unsold units. Entities with substantial exempt turnover, where Rule 42 reversals are large. Entities that capitalise a significant blocked-credit element and account for it inconsistently. In these cases the figure is real and belongs in the report — but you should be able to trace it to a named cause on a single line.

7. The master decision flowchart



Nil is a result, not an absence of work. Show the gross increase and decrease columns either way.

8. What counts as inventory — and what does not

Sub-clause (a) refers to "closing stock". In ordinary commercial usage "stock-in-trade" means finished goods and raw materials. But sub-clause (b) refers to section 145A, which uses the word "inventory", and AS-2 and Ind AS 2 define inventories to include finished goods, raw materials, work-in-progress, materials, maintenance supplies, consumables and loose tools. The Guidance Note therefore concludes that the method of valuation of **all items of inventories** must be given under sub-clause (a).

Guidance Note (Revised 2026), para 26.3.

THIS IS INVENTORY

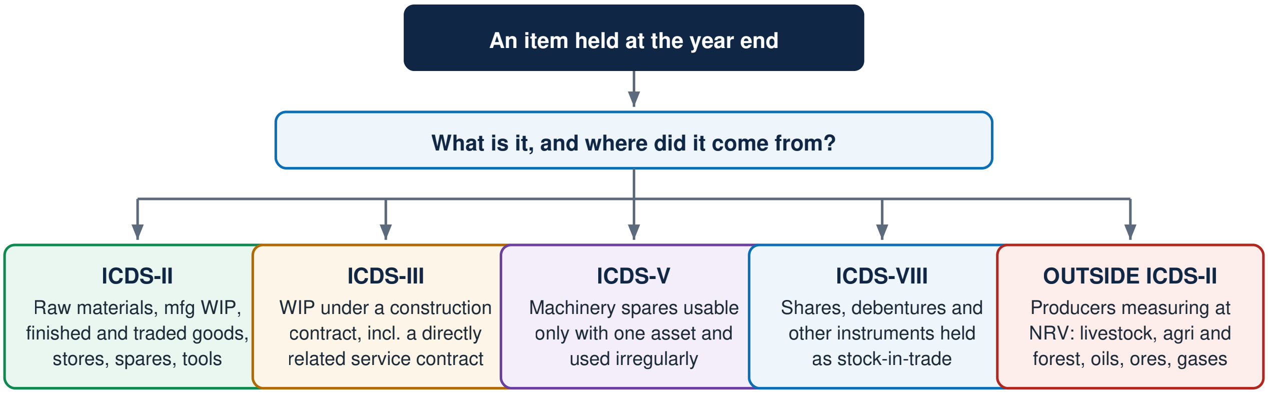
Raw materials
Work-in-progress arising from the manufacturing process
Finished goods
Traded goods and stock-in-trade
Stores and spares (other than irregular-use machinery spares)
Consumables and maintenance supplies
Packing materials
Loose tools
By-products, scrap and waste
Goods in transit owned by the assessee
Own stock lying with job workers
Printed stationery held by a bank or an insurer for use in rendering services
Securities held as stock-in-trade — but valued under ICDS-VIII, not ICDS-II

THIS IS NOT INVENTORY

Investments in securities — capital assets, outside Clause 14 entirely
Insurance policy liabilities and claims outstanding
Unbilled revenue recognised at selling price — a contract asset, not stock at cost
Fixed assets and capital work-in-progress
Machinery spares usable only with one tangible fixed asset and used irregularly — ICDS-V
Work-in-progress under a construction contract, including a directly related service contract — ICDS-III
Work-in-progress dealt with by any other ICDS
Goods held on behalf of others
Inventories of producers of livestock, agricultural and forest products, mineral oils, ores and gases measured at net realisable value
Loans, advances and receivables

Three traps in that table.
Unbilled revenue. Do not treat it as inventory reflexively. If revenue has been recognised on the percentage-of-completion basis and the balance is measured at selling price, it is a contract asset. If costs have been incurred and revenue has *not* been recognised, and the balance is carried at cost, that is closer to WIP. Both can exist in the same entity. They must not be added together.
Bank and insurer stationery. A bank is not a conventional inventory entity, but it is not automatically an entity with no inventory either. Ask the question as a matter of fact.
Securities. Held as stock-in-trade, they are inventories in the commercial sense but are expressly excluded from ICDS-II and go to ICDS-VIII. Held as investments, they are outside Clause 14 altogether. The classification is the whole answer.

9. ICDS routing map



Under ICDS-II: lower of cost and net realisable value.

Cost = cost of purchase (price + non-refundable duties and taxes + freight inward + directly attributable expenditure, less trade discounts and rebates) + cost of services + cost of conversion + other costs to bring inventories to their present location and condition. Formulae permitted: specific identification, FIFO, weighted average.

EXCLUDED from cost under ICDS-II:

- abnormal amounts of wasted materials, labour or other production costs
- storage costs, unless necessary in the production process prior to a further production stage
- administrative overheads that do not bring inventories to their present location and condition • selling costs

Fixed overheads. ICDS-II requires fixed production overheads to be allocated on the basis of the **normal level of production**, and variable production overheads on the basis of the actual use of the production facilities. Allocating fixed overheads on actual capacity in a year of low production loads unabsorbed cost into inventory and overstates profit. Valuing stock at actual cost of raw materials without taking overheads into account was held not to be a correct method, even though consistently followed, in *CIT v. British Paints India Ltd.* [1991] 188 ITR 44 (SC).

10. The service-company question, settled

This is where most of the argument in practice happens, so it is worth setting out carefully.

WHAT IS CLEARLY RIGHT

Section 145A as it now stands refers to purchase and sale of goods **or services**, and the Guidance Note records that section 145A covers not only goods but services and securities also. So the proposition “this is a service company, therefore section 145A does not apply” is simply wrong as a statement of law.

Guidance Note (Revised 2026), para 26.7.

WHAT IS EQUALLY WRONG

Jumping from that to reporting a Clause 14(b) figure equal to the GST on input services. That is not what section 145A produces, and it would misstate profit.

WHY THE ARITHMETIC IS NIL ANYWAY

Under the exclusive method, output GST is credited to a GST Payable Account and input GST is debited to an ITC Credit Receivable Account. Neither passes through the profit and loss account. The Guidance Note is explicit: GST is collected from customers on behalf of the GST authorities, its collection is not an economic benefit for the enterprise, it does not increase equity, and accordingly it should not be recognised as income; similarly the payment of GST should not be treated as an expense.

Guidance Note (Revised 2026), para 26.14.

Gross up the sales and reverse the corresponding liability, gross up the input services and reverse the corresponding credit, and nothing is left. Critically, **with no inventory there is no closing balance in which unrecovered tax can be trapped** — and it is precisely that trapped balance which creates a real adjustment in a manufacturing or trading entity.

> **The two defensible reported positions**
>
> **Position A — Not applicable.** There is no inventory, no work-in-progress requiring valuation and no security held as stock-in-trade. There is therefore no valuation to compare against the section 145A basis and no deviation to report. Clause 14(a) and 14(b) are both reported as not applicable.
>
> **Position B — Applicable, effect nil.** The services limb of section 145A is tested and the result — nil — is stated, on the reasoning above.
>
> **Both produce the same reported figure.** Position B is the more conservative. What is not defensible is either (i) declining to consider section 145A at all because the client is a service company, or (ii) inventing a number equal to input service GST. Record which position you have taken and why, and keep the management confirmation of nil inventory on file — a “not applicable” report is a positive conclusion and needs evidence, not merely an absence of data.

WHEN A SERVICE COMPANY DOES HAVE A CLAUSE 14 OBLIGATION

Situation	Consequence
Consumables, stationery or spares held at the year end	Inventory exists. Clause 14(a) applies. State the method — typically at cost, on FIFO.
Costs incurred on incomplete assignments, carried at cost, revenue not yet recognised	This is work-in-progress. Determine which standard governs it before applying ICDS-II by default — work-in-progress dealt with by any other ICDS is excluded from ICDS-II.
Contract WIP under a construction contract or a directly related service contract	ICDS-III, not ICDS-II. Expressly excluded from ICDS-II by its scope paragraph.

Traded goods sold alongside services (hardware, licences, materials)	Ordinary inventory. Full ICDS-II treatment and a normal section 145A working.
Securities held as stock-in-trade	ICDS-VIII.

11. Writing Clause 14(a) so it survives review

Bad — and extremely common

"Stock is valued at cost or market price, whichever is lower."

Which stock? Every category, or only finished goods? What is "cost" — FIFO, weighted average, specific identification? And "market price" is not the standard; the standard is net realisable value, which is the expected selling price in the ordinary course of business less the cost of completion and the estimated cost necessary to make the sale.

Good

"Raw materials are valued at the lower of cost and net realisable value. Cost comprises the purchase price, non-refundable duties and taxes, freight inward and other expenditure directly attributable to the acquisition, net of trade discounts and rebates, and is determined on the weighted average basis.

Work-in-progress and finished goods are valued at the lower of cost and net realisable value. Cost comprises materials, cost of conversion including direct labour, a systematic allocation of variable production overheads on the basis of the actual use of the production facilities and of fixed production overheads on the basis of the normal level of production, and other costs incurred in bringing the inventories to their present location and condition. Cost is determined on the weighted average basis.

Stores, spares, consumables and packing materials are valued at cost, determined on the first-in first-out basis.

Loose tools are valued at the lower of cost and net realisable value.

Scrap and by-products are valued at net realisable value.

Abnormal amounts of wasted materials, labour and other production costs, storage costs not necessary in the production process, administrative overheads that do not contribute to bringing the inventories to their present location and condition, and selling costs are excluded from cost."

Rule	Why
State the method for **every** category separately	TAQRB specifically flags non-reporting of the valuation method for individual inventory categories.
Wherever you say "cost", say how cost is determined	Accounting standards require a statement as to how cost is determined; the Guidance Note repeats it.
Use "net realisable value", not "market value"	NRV is the defined term in both ICDS-II and AS-2.
Make it agree with the accounting policy note	AS-2 and Ind AS 2 require disclosure of the policy. A mismatch between the 3CD and the notes is itself a deficiency.
Do not report the change in method here	A change is not required to be indicated under this clause. It is a change in accounting policy requiring disclosure under AS-5 / Ind AS 8.
Do not omit the small categories	Consumables, packing materials and loose tools are inventories. Immateriality does not remove the disclosure requirement.

Part II — Standard client inputs

12. The nine documents that decide the answer

Everything else is corroboration. If you get these nine, you can complete Clause 14.

#	Document	Why it decides the answer
1	**Closing stock statement, category-wise, with the basis of valuation stated**	This *is* Clause 14(a). The Guidance Note requires the auditor to obtain the inventory of closing stock indicating the basis of valuation, and to study the procedure followed in taking and valuing the inventory. Without it there is no disclosure to make and no evidence for it.
2	**GST component attributable to each closing inventory category**	The single item clients never volunteer and the one without which Clause 14(b) cannot be computed at all. It must be derived item-wise from the purchase records, not estimated at a blended rate.
3	**Prior year Clause 14 working paper and Form 3CD**	Opening inventory and its tax component must be continuous with last year's closing figures. Without continuity the nil result cannot arise and any figure you produce is unverifiable.
4	**Purchase register with eligible / blocked / reversed ITC columns**	Isolates the only items capable of making the answer non-nil, and gives the implied input GST rate used to cross-check the closing-stock GST component.
5	**Section 17(5) blocked credit schedule, category-wise with the blocking clause**	Tells you whether the non-recoverable tax went into cost, as the Guidance Note requires, or into the profit and loss account, which creates a real Clause 14(b) figure.
6	**Rule 42 and Rule 43 apportionment workings**	Same question for common credit attributable to exempt supplies. Rule 43 relates to capital goods and affects depreciable cost rather than inventory.
7	**Electronic credit ledger for the full year**	The only genuinely independent check on the ITC figures. Opening credit plus credit availed less utilisation, reversals and refunds must roll forward to the closing balance.
8	**Overhead absorption working showing normal capacity and actual production**	A Clause 14(a) correctness issue, not a GST issue. ICDS-II requires allocation on the normal level of production.
9	**Item-wise net realisable value working**	Supports valuation at the lower of cost and NRV, with evidence of expected selling price, cost of completion and selling cost.

> **Where there is no inventory, ask for the tenth document instead.** A written management confirmation that no inventory, work-in-progress or stock-in-trade of any description was held at the year end. That letter is the audit evidence for a "not applicable" report. Do not send a service client a stock ageing schedule request — it wastes their time and yours and signals that the request list was not thought about.

13. Fourteen client templates — field specifications

*Blank CSVs for all fourteen download from the **Templates** tab of the companion tool.*

#	Template	Required fields
1	**Trial balance**	GL code · GL description · Group · Opening balance · Debit · Credit · Closing balance
2	**Opening inventory**	Item code · Description · Category · Quantity · Unit · Rate · Opening value excl. GST · Cost formula · GST component · ITC status · Prior year WP reference
3	**Closing inventory**	Item code · Description · Category · Quantity · Unit · Cost per unit · Cost excl. GST · GST rate · Eligible ITC component · Blocked ITC component · ITC reversal loaded to cost · NRV per unit · Lower of cost and NRV · Final valuation · Location
4	**Purchase register**	Supplier name · Supplier GSTIN · Invoice no · Invoice date · HSN/SAC · Goods or services · Taxable value · CGST · SGST · IGST · Cess · Total invoice value · ITC eligible · ITC availed · ITC blocked s.17(5) · Blocking reason · ITC reversed · Reversal rule · Freight inward · Customs duty (non-creditable) · Discount/ rebate · Inventory category · Consumed or in closing stock
5	**Sales register**	Customer name · Customer GSTIN · Invoice no · Invoice date · HSN/SAC · Product/service category · Taxable value · CGST · SGST · IGST · Cess · Total invoice value · Supply type · Export route · Credit/debit note ref · Shipping bill no
6	**ITC reconciliation**	Rows: opening ITC · ITC per books · ITC per GSTR-2B · difference · ITC availed in 3B · ITC not availed · Rule 42 reversal · Rule 43 reversal · 180-day reversal · blocked s.17(5) · reclaimed · utilised · refunded · closing ITC. Columns: CGST, SGST, IGST, Cess, Total, Remarks
7	**GSTR-1 reconciliation**	Month · Turnover per books · per GSTR-1 · per GSTR-3B · two difference columns · Reason
8	**GSTR-3B reconciliation**	Rows: outward taxable · zero-rated · exempt · non-GST · output CGST/SGST/IGST · ITC availed · ITC reversed · net ITC · tax payable · paid in cash · paid through ITC. Columns: books, 3B, difference, reason
9	**GSTR-2B reconciliation**	Supplier GSTIN · Supplier name · Invoice no · Invoice date · Taxable value and tax per books · per 2B · Difference · Status · Action
10	**Electronic credit ledger**	Date · Return period · Description · CGST/SGST/IGST/Cess credit · CGST/SGST/IGST debit · running balances
11	**Manufacturing cost sheet**	Product · BOM reference · Quantity produced · Normal capacity · Actual capacity utilised · Raw material cost · Direct labour · Variable production OH · Fixed production OH · Fixed OH absorbed on normal capacity · Unabsorbed fixed OH to P&L · Abnormal wastage excluded · Scrap credit · By-product credit · Total cost · Cost per unit
12	**Work-in-progress**	Product / project / contract · WIP arises from · Opening WIP · Cost incurred · Transferred to FG · Stage of completion · Closing WIP at cost · GST component · NRV · Valuation basis · **Governing ICDS**
13	**Net realisable value**	Item code · Description · Category · Quantity · Cost per unit · Total cost · Expected selling price · Estimated cost of completion · Estimated selling cost · NRV per unit · Lower of cost and NRV · Write-down · Basis of expected selling price
14	**ITC eligibility analysis**	Expense / input category · HSN/SAC · Taxable value · GST amount · Fully eligible · Blocked s.17(5) · Blocking clause · Partly eligible · Rule 42 reversal · Rule 43 reversal · Net reversed · Reclaimed · **Amount added to cost** · **Amount in closing inventory** · Remarks

The two fields that do all the work are the last two of Template 14 — *amount added to cost* and *amount in closing inventory* — together with the GST columns of Template 3. If a client fills in only those, you can complete Clause 14(b). Everything else is corroboration and reconciliation.

14. Which GST returns to ask for, and which not to

Requesting every GST form from every entity is not thoroughness; it is a failure to think. Each line below states the reason, in the form the tool generates it.

GST information	Required?	Reason
GSTR-1 — outward supplies	If registered	To agree book turnover and to split taxable, zero-rated and exempt supplies for the outward leg and for Rule 42 apportionment.
GSTR-3B	If registered	The return in which output tax and ITC are actually declared, availed and utilised. The working must tie to it.
GSTR-2B	If registered	To test the ITC claimed against the credit made available. A mismatch may mean credit has been taken that will later be reversed — and on reversal it becomes a cost, which changes inventory.
GSTR-2A	Only on reversals	Not a routine request. GSTR-2B is the statutory basis for ITC. Call for 2A only where 2B mismatches need tracing to late supplier filings.
Electronic credit ledger	If registered	The only independent roll-forward of credit availed, utilised, reversed and refunded. Without it the ITC reconciliation is self-referential.
Electronic liability and cash ledgers	If registered	To complete the output-tax reconciliation and establish cash tax paid.
GSTR-9 annual return	Where liable	The annual reconciliation of the monthly returns and the cleanest source for aggregate ITC and turnover.
GSTR-9C	Where applicable	Where applicable by turnover, it already reconciles audited financials to the returns and saves duplicated effort. Do not demand it reflexively from entities below the threshold.
Rule 42 / 43 workings	Only if common credit	Required where common inputs or input services are used for both taxable and exempt supplies. Requesting it from an entity with wholly taxable supplies is unnecessary.
Refund applications and sanction orders	Only if refunds	Refunds break the credit-ledger roll-forward and must be reconciled into it.
GST notices, orders and demands	Obtain a list	A demand for reversal of credit may change the cost of inventory and may engage other clauses of Form 3CD.

Zero-rated is not exempt. This distinction changes the ITC position and therefore the cost of inventory, so it must be got right before anything else.

Zero-rated supply — exports and supplies to a SEZ. Carries **full** input tax credit entitlement. Either exported under a letter of undertaking without payment of IGST, with refund of unutilised credit, or on payment of IGST with refund of the tax paid.

Exempt supply — blocks proportionate credit. Common credit attributable to exempt supplies is reversed under Rules 42 and 43 and, per the Guidance Note, the reversed amount is **added to the cost** of the inputs, input services and capital goods as applicable.

Treating an exporter's turnover as exempt would trigger a large false Rule 42 reversal and a large false Clause 14(b) figure. It happens.

The e-mail you actually send. The companion tool generates the request list from the questionnaire answers, with the purpose stated against each line and a separate section listing what is *not* being requested and why. Copy it as e-mail text from the **Client data request** tab. A request list that explains itself gets a better response from the client than a generic checklist.

Part III — Seven worked illustrations

*All figures are illustrative and in rupees. Every example internally reconciles and can be reproduced by loading the corresponding sample in the companion tool and pressing **Run all 18 tests**. Where the tool reaches a "not applicable" conclusion it also records the reasoning, because a negative conclusion still has to be supported.*

15. Manufacturing

Bharat Precision Components Private Limited — auto components

CLIENT FACTS

Nature of business	Manufacture of machined auto components
GST	Registered, single GSTIN, wholly taxable outward supplies
Books	Exclusive method; GST routed through credit receivable and GST payable accounts
Inventory	Raw materials, WIP, finished goods, stores and spares, consumables, packing materials
WIP arises from	The manufacturing process
Overheads	Fixed production overheads absorbed on normal capacity
Imports	Yes — basic customs duty of 12,00,000 already in cost
Blocked ITC	8,70,000 identified and **added to cost** in the books

APPLICABILITY CONCLUSION

Clause 14(a)	APPLICABLE
Clause 14(b)	APPLICABLE
Section 145A	APPLICABLE
Governing ICDS	ICDS-II — valuation of inventories
Reason	Inventory is held; the books are on the exclusive method, which is a deviation from the inclusive basis prescribed by section 145A. Adjustments must be made in all cases where the exclusive method is followed (GN 26.10).

FIGURES

Inventory movement		
Category	**Opening (excl.) / GST**	**Closing (excl.) / GST**
Raw materials	1,20,00,000 / 21,60,000	1,42,00,000 / 25,22,000
Work-in-progress	45,00,000 / 6,30,000	52,00,000 / 9,23,000
Finished goods	78,00,000 / 10,92,000	88,00,000 / 15,62,000
Stores, spares, consumables, packing	15,00,000 / 2,70,000	18,00,000 / 3,20,000
Total	**2,58,00,000 / 41,52,000**	**3,00,00,000 / 53,27,000**
Transactions		
Purchases of goods (excl.)		18,50,00,000
GST on purchases — eligible / blocked		3,28,50,000 / 6,50,000
Input services (excl.)		2,40,00,000

GST on input services — eligible / blocked	41,00,000 / 2,20,000
Basic customs duty in cost · freight inward	12,00,000 · 35,00,000
Sales (excl.) · output GST	26,80,00,000 · 4,82,40,000
Opening / closing ITC balance	28,00,000 / 25,50,000
ITC utilised (per ledger) · output tax paid in cash	3,72,00,000 · 1,10,40,000

WP-145A-2 — CLAUSE 14(B)

Sr.	Particulars	Increase in profit	Decrease in profit
1	GST attributable to opening inventory	—	41,52,000
2	GST on purchases of goods, not in purchase cost in the books	—	3,28,50,000
3	GST on input services, to the extent to be considered under s.145A	—	41,00,000
4	Eligible ITC attributable to goods and services consumed	3,57,75,000	—
5	GST included in the value of outward supplies	4,82,40,000	—
6	Corresponding GST payable on those outward supplies	—	4,82,40,000
7	GST attributable to closing inventory	53,27,000	—
8	Blocked ITC under s.17(5) — already added to cost in the books	—	—
9	Rule 42 / 43 reversals — none	—	—
10	Basic customs duty — non-refundable, already in cost of purchase	—	—
	Total	**8,93,42,000**	**8,93,42,000**
	Net effect on profit		**NIL**

Auditor conclusion. The assessee follows the exclusive method, which is a deviation from the inclusive basis prescribed by section 145A. The adjustment has been worked out. The gross increase and decrease in profit are 8,93,42,000 each and the net effect is nil, consistent with the Guidance Note position that the adjustments do not affect the trading account and that gross profit is the same under both methods (para 26.16). Gross profit on both bases is 6,32,00,000.

Cross-check performed: closing-stock GST of 53,27,000 against an expectation of 53,27,027 at the implied eligible input GST rate of 17.8 per cent on purchases — agrees.

16. Trading with imports

Sunrise Distributors Private Limited — FMCG distribution

CLIENT FACTS

Nature	Import and domestic trading
Inventory	Traded goods, packing materials, goods in transit
Imports	Yes — basic customs duty 18,50,000 in cost; IGST on imports creditable
Blocked ITC	1,20,000 on input services, added to cost

CONCLUSION

Clause 14(a)	APPLICABLE
Clause 14(b)	APPLICABLE
ICDS	ICDS-II
Net effect	**NIL**

Figures	
Opening traded goods (excl.) · GST component	2,15,00,000 · 38,70,000
Purchases (excl.) · eligible input GST	14,60,00,000 · 2,62,80,000
Basic customs duty in cost · freight inward	18,50,000 · 22,00,000
Input services (excl.) · eligible / blocked GST	85,00,000 · 14,10,000 / 1,20,000
Sales (excl.) · output GST	17,90,00,000 · 3,22,20,000
Closing traded goods (excl.) · GST component	2,48,00,000 · 44,64,000
Opening / closing ITC · utilised · cash tax	12,00,000 / 9,50,000 · 2,79,40,000 · 42,80,000

Sr.	Particulars	Increase	Decrease
1	GST attributable to opening inventory	—	38,70,000
2	GST on purchases of goods	—	2,62,80,000
3	GST on input services	—	14,10,000
4	Eligible ITC attributable to consumption	2,70,96,000	—
5	GST included in outward supplies	3,22,20,000	—
6	Corresponding GST payable	—	3,22,20,000
7	GST attributable to closing inventory	44,64,000	—
8	Basic customs duty — non-refundable, already in cost (ICDS-II)	—	—
	Total	**6,37,80,000**	**6,37,80,000**
	Net effect on profit		**NIL**

The point of this example is the customs duty. Basic customs duty is not creditable, so it is a non-refundable duty and ICDS-II puts it into the cost of purchase. The books have already done so — therefore **no Clause 14(b) adjustment arises for it**. IGST paid on import, by contrast, is creditable and behaves exactly like domestic input GST. Separating the two on the bill of entry is the entire task. Teams that lump them together either understate inventory or double-count the adjustment.

17. Pure service — no inventory

Meridian Consulting LLP — management consultancy

CLIENT FACTS

Nature	Management consultancy; fees billed on milestones
Inventory	None of any description at the year end
Unbilled revenue	Present, measured at selling price — revenue recognised, not yet invoiced
Blocked ITC	7,20,000 — motor cars and staff welfare — charged to the relevant expense heads

CONCLUSION

Clause 14(a)	NOT APPLICABLE
Clause 14(b)	NOT APPLICABLE
Section 145A	Applicable to specified items
ICDS	None engaged
Judgement flags	1 — the services limb

Clause 14(a) as reported. "Not applicable. The assessee did not hold any inventory at the close of the previous year — there was no raw material, work-in-progress, finished goods, traded goods, stores, spares, consumables, packing materials or loose tools, and no shares, debentures or other securities were held as stock-in-trade. There being no closing stock, no method of valuation falls to be stated. A written confirmation to this effect has been obtained from the management and is on record."

Clause 14(b) as reported. Not applicable. There is no inventory, no work-in-progress requiring valuation and no security held as stock-in-trade, and therefore no valuation to compare against the section 145A basis and no deviation to report.

The services limb, considered and recorded. Section 145A extends to the purchase and sale of services, and the Guidance Note records that it covers services and securities as well as goods (para 26.7). The position has been tested. Under the exclusive method, output GST of 2,30,40,000 is credited to the GST Payable Account and input GST of 1,08,00,000 is debited to the ITC Credit Receivable Account; neither is recognised as income or expense (para 26.14). Grossing up and reversing both legs produces no residual, and with no inventory there is no closing balance in which unrecovered tax can be trapped. The arithmetic effect is therefore nil. Blocked credit of 7,20,000 has been charged to the related expense heads and none of it can be carried forward in stock. **No adjustment has been made merely because the assessee pays GST on input services.**

Sr.	Particulars — test computation, retained on file	Increase	Decrease
1	GST on input services (eligible)	—	1,08,00,000
2	Eligible ITC attributable to services consumed (no closing balance)	1,08,00,000	—
3	GST included in outward supplies of services	2,30,40,000	—
4	Corresponding GST payable	—	2,30,40,000
	Total	**3,38,40,000**	**3,38,40,000**
	Net effect on profit		**NIL**

Do not report the unbilled revenue as inventory. It is measured at selling price on the percentage-of-completion basis and revenue has been recognised. That makes it a contract asset, not inventory carried at cost. Had costs been incurred with revenue *not* recognised and the balance carried at cost, the answer would be different — and the first question would be which ICDS governs it.

DOCUMENTS REQUESTED FROM THIS CLIENT — TEN, NOT TWENTY

Trial balance · signed financial statements with accounting policies · prior year Clause 14 working · purchase register with GST break-up · sales register with GST break-up · ITC reconciliation · electronic credit, liability and cash ledgers · section 17(5) blocked credit schedule · accounting policy note on inventories and GST · **written management confirmation of nil inventory**. No stock statement, no ageing analysis, no NRV working, no cost sheet, no production register, no Rule 42/43 working — none of them exist and none of them are relevant.

18. Banking

Pragati Co-operative Bank Limited

CLIENT FACTS

Physical inventory	Printed stationery, passbooks, cheque books, consumables — held for use in rendering services
Securities	Both — a portion held as stock-in-trade, a portion as investments
Supplies	Taxable fee income and exempt interest income
ITC	Option under section 17(4) of the CGST Act exercised — 50 per cent availed

CONCLUSION

Clause 14(a)	APPLICABLE
Clause 14(b)	APPLICABLE
ICDS	ICDS-II for stationery and consumables; ICDS-VIII for securities held as stock-in-trade
Net effect	**NIL**

Two separate modules, never combined. A bank has a **physical inventory** question and a **securities** question and they are answered under different standards. Securities held as stock-in-trade are expressly excluded from ICDS-II and go to ICDS-VIII, which provides that for a Scheduled Bank or a Public Financial Institution formed under a Central or State Act, or so declared under the Companies Act, measurement shall be in accordance with the guidelines issued by the Reserve Bank of India. Securities held as investments are outside Clause 14 altogether. Do not merge the two into a single inventory line.

Figures	
Opening stationery and consumables (excl.) · GST component	42,00,000 · 3,78,000
Purchases of stationery and consumables (excl.) · total GST	2,80,00,000 · 50,40,000
of which availed under s.17(4) / lapsed and added to cost	25,20,000 / 25,20,000
Input services (excl.) · availed / lapsed and added to cost	5,60,00,000 · 50,40,000 / 50,40,000
Taxable fee income (excl.) · output GST	8,20,00,000 · 1,47,60,000
Exempt turnover (interest)	42,00,00,000
Closing stationery and consumables (excl.) · GST component	46,00,000 · 4,14,000

Sr.	Particulars	Increase	Decrease
1	GST attributable to opening inventory of stationery and consumables	—	3,78,000
2	Eligible GST on purchases of goods (50 per cent availed)	—	25,20,000
3	Eligible GST on input services (50 per cent availed)	—	50,40,000
4	Eligible ITC attributable to consumption	75,24,000	—
5	GST included in outward supplies	1,47,60,000	—
6	Corresponding GST payable	—	1,47,60,000
7	GST attributable to closing inventory	4,14,000	—
8	Unavailed 50 per cent under s.17(4) — already added to cost	—	—

	Total	**2,26,98,000**	**2,26,98,000**
	Net effect on profit		**NIL**

Note the implied rate. Because only 50 per cent of the credit is availed, the eligible input GST rate implied by the purchase register is 9 per cent, not 18. The GST component of closing inventory must therefore be 9 per cent of cost, not 18. Attributing 18 per cent would fail the reasonableness cross-check and produce a false Clause 14(b) figure. This is exactly the kind of error the cross-check exists to catch.

Clause 14(a) as reported. "Stores and spares and consumables comprising printed stationery, passbooks, cheque books and office consumables are valued at cost, determined on the first-in first-out basis. Cost comprises the purchase price, non-refundable duties and taxes, freight inward and other expenditure directly attributable to the acquisition, net of trade discounts and rebates. Securities held as stock-in-trade are valued in accordance with ICDS-VIII, measurement being made in accordance with the guidelines issued by the Reserve Bank of India."

19. Insurance

Sanrakshan General Insurance Limited

CLIENT FACTS

Physical inventory	Printed policy documents, stationery, marketing collateral
Securities	Held as investments only — not stock-in-trade
Supplies	Taxable premium income and exempt supplies
Common credit	Rule 42 route adopted; reversal of 6,00,000 **added to cost**

CONCLUSION

Clause 14(a)	APPLICABLE
Clause 14(b)	APPLICABLE
ICDS	ICDS-II for stationery and consumables. Investments expressly not inventory.
Net effect	**NIL**

The mistake this example exists to prevent. An insurance company's balance sheet is dominated by investments, policy liabilities, claims outstanding and reserves. **None of these is inventory.** They are not held for sale in the ordinary course of business, are not in the process of production for such sale, and are not materials or supplies to be consumed in a production process or in rendering services. Treating them as inventory because they are large balance-sheet items is a category error. What *is* inventory is the printed stationery and marketing material held for consumption — small, unglamorous, and the correct answer.

Figures	
Opening stationery and consumables (excl.) · GST component	28,00,000 · 5,04,000
Purchases of printing, stationery, collateral (excl.) · eligible GST	3,20,00,000 · 57,60,000
Rule 42 reversal of common credit — added to cost	6,00,000
Input services (excl.) · eligible / blocked GST	9,40,00,000 · 1,58,00,000 / 11,20,000
Premium and fee income (excl.) · output GST	62,00,00,000 · 11,16,00,000
Exempt turnover	8,50,00,000
Closing stationery and consumables (excl.) · GST component	31,00,000 · 5,58,000

Sr.	Particulars	Increase	Decrease
1	GST attributable to opening inventory	—	5,04,000
2	Eligible GST on purchases of goods	—	57,60,000
3	Eligible GST on input services	—	1,58,00,000
4	Eligible ITC attributable to consumption	2,15,06,000	—
5	GST included in outward supplies	11,16,00,000	—
6	Corresponding GST payable	—	11,16,00,000
7	GST attributable to closing inventory	5,58,000	—
8	Rule 42 reversal — already added to cost of inputs and input services	—	—
	Total	**13,36,64,000**	**13,36,64,000**

	Net effect on profit	**NIL**

Had the Rule 42 reversal been expensed instead of costed, the answer would not be nil. The portion of the 6,00,000 relating to stationery still lying in closing inventory would be an increase in profit, because the Guidance Note requires proportionate credit attributable to exempt supplies to be added to the cost of inputs and input services (para 26.13). On these facts that would be roughly 58,000 — small, but reportable. Materiality governs audit effort, not disclosure.

20. Export-oriented manufacturing

Vaayu Exports Limited — exports under letter of undertaking

CLIENT FACTS

Supplies	Domestic taxable 4,20,00,000; zero-rated exports 16,40,00,000
Export route	Under LUT, without payment of IGST
Refund	Refund of unutilised ITC 1,85,00,000 claimed and received
Inventory	Raw materials, WIP, finished goods, packing materials

CONCLUSION

Clause 14(a)	APPLICABLE
Clause 14(b)	APPLICABLE
ICDS	ICDS-II
Net effect	**NIL**

Inventory movement		
Category	**Opening (excl.) / GST**	**Closing (excl.) / GST**
Raw materials and packing materials	95,00,000 / 17,10,000	1,08,00,000 / 19,44,000
Work-in-progress	32,00,000 / 5,76,000	38,00,000 / 6,84,000
Finished goods	1,10,00,000 / 19,80,000	1,26,00,000 / 22,68,000
Total	**2,37,00,000 / 42,66,000**	**2,72,00,000 / 48,96,000**
GST movement		
Eligible input GST — goods 2,73,60,000, services 31,50,000	3,05,10,000	
Output GST on domestic supplies	75,60,000	
Opening ITC · refund received · ITC utilised · closing ITC	35,00,000 · 1,85,00,000 · 75,10,000 · 80,00,000	

Sr.	Particulars	Increase	Decrease
1	GST attributable to opening inventory	—	42,66,000
2	Eligible GST on purchases of goods	—	2,73,60,000
3	Eligible GST on input services	—	31,50,000
4	Eligible ITC attributable to consumption	2,98,80,000	—
5	GST included in domestic outward supplies	75,60,000	—
6	Corresponding GST payable	—	75,60,000
7	GST attributable to closing inventory	48,96,000	—
	Total	**4,23,36,000**	**4,23,36,000**
	Net effect on profit		**NIL**

Zero-rated exports carry no output GST but full ITC entitlement. That is why the credit ledger accumulates and why a refund of unutilised credit arises. The refund does not enter the Clause 14(b) table — it is a movement in the credit ledger, not a change in the cost of inventory. But it **must** be brought into the credit ledger roll-forward, otherwise the reconciliation will not close.

Roll-forward check: opening credit 35,00,000 + credit availed 3,05,10,000 − refund 1,85,00,000 − closing credit 80,00,000 = credit utilised 75,10,000. Output GST of 75,60,000 less credit utilised leaves 50,000 settled in cash. Agrees.

The classification error to guard against. If the export turnover of 16,40,00,000 were misclassified as *exempt* rather than *zero-rated*, Rule 42 would appear to require reversal of common credit in the ratio of exempt to total turnover — roughly 80 per cent. That would generate a reversal of about 2,44,00,000, most of which would be added to cost, and a large false Clause 14(b) figure. Zero-rated is not exempt.

21. Export-oriented services

Nimbus Software Services Private Limited — software exports under LUT

CLIENT FACTS

Supplies	Domestic services 2,10,00,000; zero-rated software exports 24,50,00,000
Inventory	None
Unbilled revenue	Present, at selling price — a contract asset
Refund	1,20,00,000 refund of unutilised ITC on zero-rated supplies

CONCLUSION

Clause 14(a)	NOT APPLICABLE
Clause 14(b)	NOT APPLICABLE
Section 145A	Applicable to specified items
Judgement flags	1 — the services limb

Sr.	Particulars — test computation, retained on file	Increase	Decrease
1	Eligible GST on input services	—	1,48,00,000
2	Eligible ITC attributable to services consumed (no closing balance)	1,48,00,000	—
3	GST included in domestic outward supplies of services	37,80,000	—
4	Corresponding GST payable	—	37,80,000
	Total	**1,85,80,000**	**1,85,80,000**
	Net effect on profit		**NIL**

Roll-forward check. Opening credit 18,00,000 + credit availed 1,48,00,000 − refund 1,20,00,000 − closing credit 8,50,000 = credit utilised 37,50,000. Output GST of 37,80,000 less credit utilised leaves 30,000 settled in cash. Agrees. Blocked credit of 6,80,000 has been charged to the related expense heads; with no inventory none of it can be trapped in stock.

Reported position and the reasoning behind it. Clause 14(a) and 14(b) are reported as not applicable, the assessee having held no inventory, work-in-progress or stock-in-trade at the year end, supported by a written management confirmation. The services limb of section 145A has been separately considered and the test computation above is retained on file; the effect is nil for the reasons set out in section 10 of this guide. The substantial refund and the accumulated credit balance relate to zero-rated supplies and do not affect the valuation of any asset.

22. Notes on the remaining sectors

Sector	Decision logic
NBFC	Not a conventional inventory entity, but test the facts: repossessed assets held for sale, gold or bullion held as stock-in-trade, printed stationery. Securities held as stock-in-trade go to ICDS-VIII; securities held as investments are outside Clause 14 entirely. Where the section 17(4) option is exercised, the unavailed fifty per cent is a cost and must be traced to the items it relates to.
EPC and construction	Contract work-in-progress is **expressly outside ICDS-II** and is measured under ICDS-III. But materials at site not yet consumed *are* inventory under ICDS-II and must be reported under Clause 14(a). Retention money is a receivable, not inventory. The commonest error is to add contract WIP and materials at site into a single line and apply one standard to both.

Real estate	Where units are held as stock-in-trade they are inventory. Credit on construction inputs may be blocked depending on the structure, and that blocked credit goes into the cost of the units and therefore into closing stock. This is one of the few sectors where a **large, genuine Clause 14(b) figure is normal** rather than a symptom of an error. Expect it, and be able to trace it.
Job worker	The job worker does not own the principal's material. Its inventory is its own consumables and stores plus the value added lying in its work-in-progress. Do not include the principal's goods lying in the job worker's premises in the job worker's inventory — and conversely, the principal must include its own goods lying with the job worker.
Importer	Basic customs duty is not creditable and forms part of the cost of purchase under ICDS-II — already in cost, no Clause 14(b) adjustment. IGST paid on import is creditable and behaves exactly like domestic input GST. Separating the two on the bill of entry is the whole task.
Mixed taxable and exempt business	Rules 42 and 43 drive the answer. Reversed common credit must be added to the cost of inputs, input services and capital goods (GN 26.13). Where it has been expensed instead, the portion relating to inputs still in closing stock is a genuine increase in profit under Clause 14(b).
Composition levy	GST is not charged separately but as a composite charge. The Guidance Note directs that the amount of GST paid be transferred to indirect expenses (para 26.14). Establish how that has been dealt with in inventory cost before concluding.
Producers measuring at NRV	Inventories of livestock, agricultural and forest products, mineral oils, ores and gases measured at net realisable value are outside the scope of ICDS-II altogether. Clause 14(a) still requires the method to be stated.

Part IV — Making it repeatable

23. Does a tool actually solve this? An honest assessment

You asked whether software resolves the problem. The answer is: it resolves most of it, and it is important to be clear about which part it does not.

WHAT A TOOL GENUINELY FIXES

The arithmetic. The four-leg cancellation, the ITC-on-consumption derivation, the credit-ledger roll-forward. These are deterministic and a rule engine gets them right every time. This is where most of the manual errors are.

Completeness of the question set. A junior will not think to ask whether the WIP arises from a construction contract, or whether the bank holds stationery. A structured questionnaire asks every time.

The reasoning trail. Every conclusion carries its facts and its authority, so the manager reviews the reasoning rather than reconstructing it.

The client request list. Tailored to the facts, with the purpose stated and the non-requested items listed with reasons. Stops the twenty-item generic list going to a service client.

Consistency across the firm. Twelve teams reach the same conclusion on the same facts.

Clause 14(a) drafting. Category-wise wording with cost defined — the exact TAQRB finding, closed off by construction.

Exception detection. Twenty-five deterministic checks run on every engagement, including the ones a tired senior skips at 11 p.m. in January.

WHAT IT DOES NOT AND CANNOT FIX

Whether the client's data is true. If the GST component of closing inventory is a plug, the tool will flag it as implausible but cannot know the right number. Only the purchase register can.

The classification judgements. Is this WIP from a construction contract or a service contract? Is this security stock-in-trade or an investment? Is this spare irregular-use? The tool asks; a person decides.

The open legal question. Whether a service entity with no inventory should report 14(b) as "not applicable" or as "nil". The tool presents both positions and refuses to choose. That is correct behaviour, not a limitation.

Whether the inventory exists. No software substitutes for attending the physical verification and studying the procedure followed in taking the inventory, as the Guidance Note requires.

Professional scepticism. A tool that flags an implausible figure only helps if someone acts on the flag.

Currency of the law. The tool applies a framework; it does not verify that the framework is current for the relevant previous year. That check remains the auditor's.

The realistic claim. Clause 14 failure is roughly eighty per cent process failure — questions not asked, documents not requested, categories omitted, offsetting rows left out, no working on file — and twenty per cent judgement. A tool removes almost all of the first eighty per cent and makes the remaining twenty per cent **visible**, which is the more valuable half of the effect. It converts an invisible risk into a named, reviewable item. What it must never do is manufacture certainty where the law is open, or produce a figure the auditor cannot explain in one sentence.

Design principles the companion tool follows, and why they matter

- **Rules, not generation, for anything numeric.** Calculations, reconciliations, thresholds and classifications are deterministic code. Nothing numeric is inferred.
- **No invented authority.** The tool cites only the provisions, ICDS paragraphs, Guidance Note paragraphs and the single Supreme Court decision reproduced in the Guidance Note. It does not generate case citations or circular numbers.
- **Judgement is surfaced, never resolved.** Where the position is open, the output is "JUDGEMENT", with the competing views stated and a space to record the position taken.
- **Untested is reported as untested.** Where a reconciliation would be self-referential without an independent input, the tool says "not tested" rather than showing a false agreement.
- **Nothing is netted silently.** Increase and decrease columns are shown gross; the net is shown separately.
- **Materiality never suppresses disclosure.** A deviation that exists is reported even if it is trivial.
- **Full audit trail.** Every derived number carries its formula, its inputs and its authority.

24. The exception checklist

Run these on every Clause 14 file. The tool runs them automatically; the list is here so it can be used without the tool.

Risk	Exception
HIGH	Opening inventory does not agree with the prior year Clause 14 working
HIGH	Closing inventory does not reconcile with the financial statements
HIGH	Eligible plus blocked GST does not add back to total input GST charged — an unallocated residue
HIGH	Closing-stock GST component fails the reasonableness cross-check against the implied input GST rate
HIGH	Electronic credit ledger does not roll forward
HIGH	Blocked ITC under s.17(5) charged to the profit and loss account rather than added to cost
HIGH	Rule 42 reversal expensed rather than added to cost
HIGH	Fixed production overheads allocated on actual rather than normal capacity
HIGH	No production overheads allocated to inventory at all
HIGH	Abnormal wastage included in inventory cost
HIGH	Construction-contract WIP valued under ICDS-II
HIGH	Exempt supplies exist but no Rule 42 / 43 apportionment reported
HIGH	Eligible ITC per books does not agree with GSTR-2B
HIGH	Prior year Clause 14 working not available
HIGH	No GST component attributed to closing inventory despite registration and the exclusive method
HIGH	Existence of inventory not yet established
HIGH	Negative inventory value or negative derived ITC utilisation
MEDIUM	Proportion of blocked or reversed credit lying in closing inventory taken as nil without evidence
MEDIUM	Inventory carried below cost with no item-wise NRV working
MEDIUM	Method of valuation changed during the year
MEDIUM	Accounting system or ERP changed during the year
MEDIUM	Unbilled revenue and work-in-progress conflated
MEDIUM	Investments treated as inventory
MEDIUM	Exports reported but the outward supply profile does not include zero-rated supplies
MEDIUM	Imports declared but no non-creditable customs duty in cost
MEDIUM	Stock lying with, or held for, third parties not separately identified
MEDIUM	Multiple GST registrations not reconciled registration-wise before aggregation
MEDIUM	Credit ledger roll-forward not independently tested
LOW	Nil-inventory conclusion reached without a written management confirmation
LOW	Net Clause 14(b) effect below materiality — report it anyway
LOW	Section 17(4) option exercised; treatment of the unavailed fifty per cent not confirmed

25. Review and sign-off protocol

LEVEL 1 — TEAM MEMBER

Questionnaire completed for every applicable question
Client data request generated and sent, with reasons
Closing stock statement obtained; totals agreed to the accounts
GST component of closing inventory obtained **item-wise**
Prior year working obtained; opening figures agreed
Computation input; closing-stock GST cross-check passed

LEVEL 2 — MANAGER

Every reconciliation agrees, or the difference is explained on file
ITC eligible / blocked / reversed split is complete and evidenced
Blocked credit and reversals correctly loaded to cost
Gross profit neutrality confirmed, or the departure explained
All high-risk exceptions cleared
Clause 14(a) wording is category-wise and defines cost

LEVEL 3 — PARTNER

Applicability conclusion is reasoned and supported by evidence
Matters of judgement identified, alternatives considered, position documented
Management representations obtained
Open queries resolved, or their effect reflected in the report
Clause 14(a) and 14(b) wording approved for the Form 3CD
Working paper filed with the full audit trail

MANAGEMENT REPRESENTATIONS TO OBTAIN

Completeness of inventory, including goods in transit and goods with job workers; exclusion of goods held for others
Method of valuation, category-wise, and its consistency with the preceding year
Cost composition, and exclusion of abnormal waste, storage, administrative and selling costs
Allocation of fixed production overheads on the normal level of production
Net realisable value assessed item-wise; all necessary write-downs made
ITC availed only where eligible under section 16
Blocked credit identified and added to cost
Rule 42 and 43 reversals computed correctly and added to cost
GST component of each inventory category derived item-wise, not estimated
Where applicable: no inventory, work-in-progress or stock-in-trade of any description held at the year end

26. Sources, and what this guide does not do

Order	Source	Used for
1	Income-tax Act, 1961 — sections 145A and 145(2)	The substantive rule: inclusive valuation of purchase, sale and inventory
2	Income-tax Rules; Form 3CD as notified	The Clause 14(a) and 14(b) reporting format
3	ICDS notified under section 145(2) — II, III, V and VIII	Which valuation standard governs which item

4	CBDT notifications and circulars	Applicability of ICDS for the relevant previous year
5	ICAI Guidance Note on Tax Audit under Section 44AB (Revised 2026), paras 26.1–26.16	Reporting approach; exclusive and inclusive methods; blocked ITC to cost; gross profit neutrality; GST not income or expense
6	AS-2 / Ind AS 2; AS-5 / Ind AS 8	Books valuation and disclosure of a change in accounting policy
7	CGST Act 2017 sections 16, 17 and 17(4); CGST Rules 42 and 43; IGST Act	ITC eligibility, blocking, apportionment, zero-rated supplies
8	CBIC circulars and notifications	GST classification and refund questions
9	*CIT v. British Paints India Ltd.* [1991] 188 ITR 44 (SC)	Cost must include overheads; consistency alone does not validate an incorrect method
10	TAQRB observations on Clause 14	The three recurring reporting deficiencies

What this guide deliberately does not do.

- It does not cite any judicial decision, circular number or paragraph reference other than those drawn from the sources listed above. Nothing here is invented.
- It does not resolve the open question about the services limb of section 145A for an entity with no inventory. It sets out both positions and requires the auditor to take one.
- It does not verify that the law stated is current for your client's previous year. The law applicable is the law for the relevant previous year, not today's law. Confirm before relying on any conclusion.
- It does not substitute for attendance at physical verification, or for professional judgement.

Two ways to run the companion tool. Simple guided mode is the default — a process diagram, then one question per screen with a plain-language explanation, and eight figure boxes with a built-in reasonableness check on the closing-stock GST component. **Detailed mode** is one click away and carries everything entered across. Use Simple mode for the ordinary manufacturing, trading and service client; switch to Detailed for real estate, banks, multi-registration groups and anything where the answer is not nil.

Known limitations of the companion tool. It is a single-file browser application with no server, no database and no storage — work is not saved between sessions, so complete an engagement in one sitting and export the working paper. Data is entered in summary form rather than imported transaction-by-transaction; automated ingestion of purchase and sales registers, GSTR files and ERP exports is the natural next stage. It has no multi-registration consolidation, no prior-year import, and no integration with an audit-management platform. Its rule base reflects the framework set out in this guide and must be re-verified against the law applicable for each assessment year.

If you remember one thing. Clause 14(a) asks what method you used. Clause 14(b) asks what the exclusive method costs you against the inclusive basis — and for a well-run assessee the answer is nothing, which you prove rather than assert. When the answer is not nothing, it will be blocked credit, a Rule 42 reversal, or a non-refundable duty that did not make it into cost. Look for those three before you look for anything else.

Section 145A and Form 3CD Clause 14 — A Practical Guide · Assessment Year 2026-27
Companion tool: **Section-145A-Clause-14-Tax-Audit-Tool.html** — open in any browser, works offline
Simple guided mode by default · Detailed mode for complex clients
Prepared as a working aid. Not a substitute for the Act, the Rules, ICDS or the ICAI Guidance Note.